## Demo: the draft compared with the section as filed (Distribution Solutions Group, 2026)

*Draft compared with the section as filed. Blue double underline: text in the draft that is not in the section as filed (1,980 words). Red strikethrough: text in the section as filed that the draft does not carry (814 words). Green: paragraphs the draft carries in a different position (5). A bar in the left margin marks every paragraph with a change. Section as filed 4,856 words; draft 6,030 words; 80 of 135 draft paragraphs matched to section as filed paragraphs; 4,098 words unchanged. Section as filed paragraphs the draft does not carry are listed at the end.*

Opinion of ~~William Blair~~ the Special Committee's Financial Advisor

William Blair & Company, L.L.C. ("William Blair") was retained by the ~~Company~~ special committee of the board of directors (the "Special Committee") of Distribution Solutions Group, Inc. (the "Company") to act as its financial advisor ~~to the Special Committee~~ in connection with the ~~Transactions.~~ Merger. For purposes of William Blair's opinion, the "Merger" means the merger of Eclipse Acquisitions Merger Sub, Inc. ("Merger Sub") with and into the Company, with the Company surviving as a wholly owned subsidiary of Eclipse Intermediate Acquisitions, LLC ("Intermediate") and an indirect wholly owned subsidiary of Eclipse Parent Acquisitions, LLC ("Parent"), an entity formed by affiliates of LKCM Headwater Investments, LLC, pursuant to the terms and conditions set forth in the Agreement and Plan of Merger, dated as of July 15, 2026, by and among Parent, Intermediate, Merger Sub and the Company (the "Merger Agreement"), and the "Merger Consideration" means $35.00 in cash per share of common stock, par value $1.00 per share, of the Company ("Company Common Stock"), without interest, to be received pursuant to the Merger Agreement (other than in respect of Excluded Shares). Pursuant to its engagement, the Special Committee requested that William Blair render an opinion to the Special Committee as to whether the Merger Consideration to be received by the Disinterested Stockholders (other than the holders of Excluded Shares) ~~in connection with the transaction contemplated by~~ pursuant to the Merger Agreement was fair, from a financial point of view, to such stockholders. On July 15, 2026, William Blair delivered its oral opinion to the Special Committee at a meeting of the Special Committee (which opinion was subsequently confirmed in its written opinion dated July 15, 2026, and delivered to the Special Committee prior to the execution of the Merger Agreement) that, as of the date of such opinion, and based upon and subject to the assumptions, qualifications and limitations stated in its written opinion, the Merger Consideration to be received by the Disinterested Stockholders (other than the holders of Excluded Shares) ~~in connection with the transaction contemplated by~~ pursuant to the Merger Agreement was fair, from a financial point of view, to such stockholders.

THE FULL TEXT OF WILLIAM BLAIR'S WRITTEN OPINION, DATED JULY 15, 2026, IS ATTACHED AS ANNEX B TO THIS PROXY STATEMENT AND INCORPORATED INTO THIS PROXY STATEMENT BY REFERENCE IN ITS ENTIRETY. YOU ARE URGED TO READ THE ENTIRE FAIRNESS OPINION CAREFULLY AND IN ITS ENTIRETY TO LEARN ABOUT THE ASSUMPTIONS MADE, PROCEDURES FOLLOWED, MATTERS CONSIDERED AND LIMITS ON THE SCOPE OF THE REVIEW UNDERTAKEN BY WILLIAM BLAIR IN RENDERING ITS OPINION. THE ANALYSIS PERFORMED BY WILLIAM BLAIR SHOULD BE VIEWED IN ITS ENTIRETY; NONE OF THE METHODS OF ANALYSIS SHOULD BE VIEWED IN ISOLATION. WILLIAM BLAIR'S FAIRNESS OPINION WAS DIRECTED TO THE SPECIAL COMMITTEE FOR ITS USE AND BENEFIT IN EVALUATING THE FAIRNESS OF THE MERGER CONSIDERATION TO BE RECEIVED BY THE DISINTERESTED STOCKHOLDERS (OTHER THAN THE HOLDERS OF EXCLUDED SHARES) ~~IN CONNECTION WITH THE TRANSACTION CONTEMPLATED BY~~ PURSUANT TO THE MERGER AGREEMENT AND RELATES ONLY TO THE FAIRNESS, AS OF THE DATE OF WILLIAM BLAIR'S FAIRNESS OPINION AND FROM A FINANCIAL POINT OF VIEW, OF THE MERGER CONSIDERATION TO BE RECEIVED BY THE DISINTERESTED STOCKHOLDERS (OTHER THAN THE HOLDERS OF EXCLUDED SHARES) ~~IN CONNECTION WITH THE TRANSACTIONS CONTEMPLATED BY~~ PURSUANT TO THE MERGER

AGREEMENT. WILLIAM BLAIR'S FAIRNESS OPINION DOES NOT ADDRESS ANY OTHER ASPECTS OF THE MERGER OR ANY RELATED TRANSACTION, AND DOES NOT CONSTITUTE A RECOMMENDATION TO ANY HOLDER OF COMPANY COMMON STOCK AS TO HOW SUCH STOCKHOLDER SHOULD VOTE ITS SHARES OF COMPANY COMMON STOCK WITH RESPECT TO THE MERGER. WILLIAM BLAIR DID NOT ADDRESS THE MERITS OF THE UNDERLYING DECISION BY THE COMPANY TO ENGAGE IN THE MERGER. THE FOLLOWING SUMMARY OF WILLIAM BLAIR'S FAIRNESS OPINION IS QUALIFIED IN ITS ENTIRETY BY REFERENCE TO THE FULL TEXT OF ITS FAIRNESS OPINION ATTACHED TO THIS PROXY STATEMENT AS ANNEX B.

In connection with William Blair's review of the Merger and the preparation of its opinion, William Blair examined:

• the draft Merger Agreement, dated as of July 15, 2026, and William Blair assumed that the final form of the Merger Agreement would not differ from such draft in any material respect;

• the audited historical financial statements of the Company included in its filings with the ~~SEC~~ Securities and Exchange Commission (the "SEC") as of and for the three fiscal years ended December 31, 2023, December 31, 2024 and December 31, 2025, in each case included in the Company's Annual Report on Form 10-K for the fiscal year ended December 31, 2025;

• the unaudited consolidated financial statements of the Company included in its filings with the SEC as of and for the three months ended March 31, 2026, included in the Company's Quarterly Report on Form 10-Q for the fiscal quarter ended March 31, 2026;

• certain internal business, operating and financial information and ~~the financial projections~~ forecasts of the Company for the fiscal years ending December 31, 2026 through December 31, 2030, prepared by the senior management of the ~~Company, which are referred~~ Company and provided to ~~as the "Revised Projections" under the caption " — Unaudited Prospective Financial Information ";~~ William Blair on July 8, 2026 (the "Forecasts");

• information regarding publicly available financial terms of certain other transactions William Blair deemed relevant;

• information regarding certain publicly traded companies William Blair deemed relevant;

• the financial position and operating results of the Company compared with those of certain publicly traded companies William Blair deemed relevant;

• the current and historical market prices and trading volumes of ~~the~~ Company Common Stock; and

• certain other publicly available information on the Company.

William Blair also held discussions with members of the senior management of the Company to discuss the foregoing, considered other matters that it deemed relevant to its analysis, and took into account such accepted financial and investment banking procedures and considerations as it deemed relevant. William Blair was neither requested to approach, nor ~~held~~ did it hold any discussions with, third parties to solicit indications of interest in a possible acquisition of the Company in connection with its engagement.

In rendering its opinion, William Blair assumed and relied, without independent verification~~,~~ and with the ~~Company's consent,~~ consent of the Special Committee, upon the accuracy and completeness of all the financial, legal, regulatory, tax, accounting and other information provided to, examined by~~,~~ or otherwise reviewed or discussed with William Blair for purposes of its fairness opinion, including~~,~~ without limitation~~,~~ the ~~Projections,~~ Forecasts, and approved for William Blair's use by the Special Committee, and William Blair assumed no responsibility or liability therefor. William Blair did not make or obtain an independent valuation or appraisal of the assets, liabilities or solvency of the Company. William Blair was advised by the senior management of the Company that the ~~P~~For~~oj~~ecast~~ion~~s examined by William Blair were reasonably prepared on bases reflecting the best currently available estimates and judgments of the senior management of the Company. In that regard, William Blair assumed, with the consent of the Special Committee, that, (i) the ~~P~~For~~oj~~ecast~~ion~~s would be achieved in the amounts and at the times contemplated thereby and (ii) all material assets and liabilities (contingent or otherwise) of the Company were as set forth in the Company's financial statements or other information made available to William Blair.

William Blair did not express an opinion with respect to (a) the ~~P~~For~~oj~~ecast~~ion~~s, or the estimates and judgments on which they were based, (b) any debt financing incurred in connection with the Merger or (c) any equity financing provided in connection with the Merger or the terms thereof. William Blair did not consider, and expressed no opinion as to, the amount or nature of the compensation to any of the Company's officers, directors or employees (or any class of such persons) relative to the ~~Merger Consideration payable~~ compensation to the ~~Company's other stockholders.~~ Company. William Blair was not asked to consider, and its fairness opinion did not address, the relative merits of the Merger as compared to any alternative business strategies that might exist for the Company or the effect of any other transaction in which the Company might engage. William Blair's fairness opinion is based upon economic, market, financial and other conditions existing on, and other information disclosed to ~~William Blair~~ it as of, the date of such fairness opinion. It should be understood that, although subsequent developments may affect William Blair's fairness opinion, ~~William Blair~~ it does not have any obligation to update, revise or reaffirm thi~~t~~s opinion. William Blair did not make any determination as to ~~any~~ legal matters related to the Merger, and assumed that the Merger will be consummated on the terms described in the Merger Agreement, without any amendment or waiver of any material terms or conditions. William Blair did not express any opinion as to any tax or other consequences that might result from the Merger, nor ~~does~~did its opinion address any legal, tax, regulatory or accounting matters, as to which it understood that the Company had obtained such advice as it deemed necessary from qualified professionals. William Blair expressed no view or opinion as to any terms or other aspects or implications of the Merger (other than the Merger Consideration to the extent expressly specified in its fairness opinion), including, without limitation, the form or structure of the Merger or any agreements or other arrangements entered into in connection with, or contemplated by, the Merger.

The following is a summary of the material financial analyses performed and material factors considered by William Blair to arrive at its opinion. William Blair performed certain procedures, including each of the financial analyses described below, and reviewed with the Special Committee the assumptions upon which such analyses were based, as well as other factors. Although the summary does not purport to describe all of the analyses performed or factors considered by William Blair in this regard, it does set forth those considered by William Blair to be material in arriving at its fairness opinion. The financial analyses summarized below include information presented in a tabular format. In order to fully understand the financial analyses performed by William Blair, the tables must be read together with the text of each summary. The tables alone do not constitute a complete description of the financial analyses performed by William Blair. Considering the data set forth in the tables below without considering the full narrative description of the financial analyses, including the methodologies and assumptions underlying the analyses, could create a misleading or incomplete view of the financial analyses performed by William Blair. The order of the summaries of the analyses described below does not represent the relative importance or weight given to those analyses by William Blair.

Historical Stock Price Performance

William Blair reviewed the current and historical market prices and trading volumes of Company Common Stock. William Blair noted that the closing price of Company Common Stock on July 14, 2026 (the latest practicable trading day for reference prior to the entry into the Merger Agreement) was $27.59, and that the closing price of Company Common Stock on March 13, 2026, the last trading day prior to the public disclosure on March 16, 2026 of the initial proposal to acquire the Company (which date William Blair used as the undisturbed date), was $19.31. William Blair also noted a high of $40.85 and a low of $13.01 for Company Common Stock over the historical period reviewed. The Company's pricing and valuation as of the undisturbed date of March 13, 2026 and as of July 14, 2026 is set forth in the following table:

| ($ in millions, except per share) | Undisturbed | Current |
| ~~Period~~--- | ~~Implied Premium at $35.00/ share(1)~~ --- | ~~Premiums Paid Data Percentile~~ --- |
| Closing share price | $19.31 | $27.59 |
| Equity value | $904 | $1,291 |
| Net debt | $685 | $685 |
| Enterprise ~~Value/LTM Adjusted EBITDA~~ value | $1,589 | $1,976 |
| EV/LTM Q1 2026A Adj. EBITDA of $173 | 9.2x | 11.4x |
| EV/CY 2026E Adj. EBITDA of $180 (consensus) | 8.8x | 11.0x |
| ~~Enterprise Value/CY~~ EV/CY 2026E Adj~~usted~~. EBITDA of $203 (Forecasts) | 7.8x | 9.7x |

William Blair noted that, relative to the undisturbed date, the price of Company Common Stock had declined 37.4% over the prior one month, 33.7% over the prior three months and 37.9% over the prior six months, and that the average daily trading value and the volume weighted average price of Company Common Stock over the 30, 60 and 90 trading days ended on the undisturbed date were $3.44 million and $25.84, $2.65 million and $26.80, and $2.46 million and $26.92, respectively.

William Blair compared the Merger Consideration of $35.00 per share to the closing price, and to the volume weighted average price, of Company Common Stock on and prior to the undisturbed date and, for reference only, on and prior to July 14, 2026, as set forth in the following table:

| Period | Undisturbed price | Implied premium | Current price | Implied premium (for reference only) |
| --- | --- | --- | --- | --- |
| One Day Prior | $19.31 | 81.3% | $27.59 | 26.9% |
| One Week Prior | $22.09 | 58.4% | $26.94 | 29.9% |
| One Month Prior | $30.84 | 13.5% | $27.72 | 26.3% |
| 60 Days Prior | $30.02 | 16.6% | $26.96 | 29.8% |
| 90 Days Prior | $29.14 | 20.1% | $26.75 | 30.8% |
| 180 Days Prior | $31.09 | 12.6% | $30.00 | 16.7% |
| One Year Prior | $28.53 | 22.7% | $28.27 | 23.8% |
| 30-Day VWAP | $25.84 | 35.4% | $27.49 | 27.3% |
| 60-Day VWAP | $26.80 | 30.6% | $27.33 | 28.0% |

Research Analyst Price Targets

William Blair reviewed the ratings, CY 2026E Adjusted EBITDA estimates and share price targets published by the three Wall Street equity research analysts then publishing on the Company, per Wall Street equity research and FactSet as of July 14, 2026, and compared such share price targets to the undisturbed share price of $19.31 and, for reference only, to the current share price of $27.59, as set forth in the following table:

| Firm | Rating | Rating date | CY 2026E Adjusted EBITDA (millions) | Share price target | Premium to undisturbed | Premium to current |
| --- | --- | --- | --- | --- | --- | --- |
| Barrington Research Associates, Inc. | Buy | May 21, 2026 | $176.0 | $33.00 | 70.9% | 19.6% |
| KeyBanc Capital Markets Inc. | Hold | May 18, 2026 | $180.1 | — | — | — |
| Stephens Inc. | Buy | May 4, 2026 | $184.0 | $36.00 | 86.4% | 30.5% |
| Consensus mean | — | — | $180.0 | $34.50 | 78.7% | 25.0% |

William Blair noted that the Merger Consideration of $35.00 per share exceeded the mean share price target of $34.50.

Selected Public Companies Analysis

William Blair reviewed and compared certain financial information relating to the Company to corresponding financial information and multiples for seven selected publicly traded companies in the industrial ~~/~~and specialty distribution sector with similar business models or financial profiles that William Blair deemed relevant based on its professional judgment and experience. The companies selected by William Blair were: (i) W.W. Grainger, Inc., (ii) Fastenal Company, (iii) WESCO International, Inc., (iv) Applied Industrial Technologies, Inc., (v) MSC Industrial Direct Co., Inc., (vi) Hillman Solutions Corp. and (vii) Global Industrial Company. William Blair considered the enterprise value for each company (including the Company), which William Blair calculated as the equity value of ~~such~~the company, plus total debt, ~~minority interest and preferred stock,~~ less cash and cash equivalents. The equity value of each company was calculated using the closing stock price as of July 14, 2026 (the ~~last~~ latest practicable trading day for reference prior to the entry into the Merger Agreement), multiplied by the total diluted shares outstanding (using the most recent publicly available information as of July 14, 2026). William Blair reviewed the enterprise value as a multiple of (i) last twelve months ("LTM") Adjusted EBITDA and (ii) calendar year 2026 expected ("CY 2026E") Adjusted EBITDA, in each case~~,~~ based on the ~~Projections~~ Forecasts and Wall Street consensus estimates for the Company and consensus estimates for each other company, and also reviewed for each selected public company its 2025A-2026E revenue growth and its LTM Adjusted EBITDA margin, in each case sourced from SEC filings and ~~subscription services~~ FactSet as of July 14, 2026. Metrics for Applied Industrial Technologies, Inc. and MSC Industrial Direct Co., Inc. were calendarized based on fiscal year ends of June and August, respectively. Set forth below are the companies and relevant metrics:

| Company | ~~Enterprise Value (millions)~~ Equity value | Enterprise ~~Value/LTM Adjusted~~ value | 2025A-2026E revenue growth | LTM Adj. EBITDA margin | EV/LTM Adj. EBITDA | ~~Enterprise Value/ CY~~ EV/CY 2026E Adj~~usted~~. EBITDA |
| --- | --- | --- | --- | --- | --- | --- |
| W.W. Grainger, Inc. | $64,893 | $67,042 | 10.7% | 17.4% | 21.8x | 19.6x |
| Fastenal Company | $52,642 | $52,557 | 11.9% | 22.4% | 26.8x | 25.1x |
| WESCO International, Inc. | $16,868 | $21,991 | 8.4% | 6.7% | 13.6x | 12.7x |

| Applied Industrial Technologies, Inc. ~~(1)~~ | $12,258 | $12,451 | 6.1% | 12.5% | 20.6x | 19.4x |

| MSC Industrial Direct Co., Inc. ~~(2)~~ | $6,990 | $7,424 | 7.3% | 12.0% | 15.8x | 14.4x |

| Hillman Solutions Corp. | $1,590 | $2,316 | 6.8% | 17.3% | 8.6x | 8.3x |

| Global Industrial Company | $1,304 | $1,243 | 5.7% | 8.1% | 10.8x | 11.3x |

| Maximum | $64,893 | $67,042 | 11.9% | 22.4% | 26.8x | 25.1x |

| Median | $12,258 | $12,451 | 7.3% | 12.5% | 15.8x | 14.4x |

| Mean | $22,363 | $23,575 | 8.1% | 13.8% | 16.9x | 15.8x |

| Minimum | $1,304 | $1,243 | 5.7% | 6.7% | 8.6x | 8.3x |

The corresponding metrics for the Company were 2025A-2026E revenue growth of 8.1% based on the Forecasts and 4.0% based on Wall Street consensus estimates, an LTM Adjusted EBITDA margin of 8.6% and a CY 2026E Adjusted EBITDA margin of 9.4% based on the Forecasts and 8.7% based on consensus estimates, as compared to CY 2026E Adjusted EBITDA margins for the selected public companies ranging from 6.8% to 22.8%, with a median of 12.7%.

William Blair then used the implied equity value of the Company of $1,643 million and the implied enterprise value of the Company of $2,328 ~~million~~ million, in each case based on the per share Merger Consideration of $35.00, the Company's fully diluted shares outstanding of 46.946 million as of July 14, 2026 as provided by the Company's senior management (calculated based on 46,255,422 common shares, 697,154 in-the-money options at a weighted average strike price of $27.50, 424,717 RSUs and ~~the net~~ 115,988 deferred shares, and excluding 1,561,504 out-of-the-money options and 26,754 SPRs) and debt of ~~the Company~~ $738 million and cash of $~~68~~53 million as of March 31, 2026, as set forth in and calculated from the Company's public filings, to derive implied valuation multiples for the Company ~~based on the Merger Consideration using~~ of 13.5x LTM Q1 2026A Adjusted EBITDA of $173 ~~million based on historical financial statements,~~ million, 11.5x CY 2026E Adjusted EBITDA of $203 million based on the ~~P~~For~~oj~~ecast~~ion~~s and 12.9x CY 2026E Adjusted EBITDA of $180 million based on Wall Street consensus estimates. William Blair noted that the aggregate Merger Consideration payable to the Disinterested Stockholders was $371 million. William Blair compared the multiples implied for the Company based on the Merger Consideration to the range of trading multiples of the aggregate group of such selected publicly traded companies. Information regarding the multiples derived from William Blair's selected public company analysis is set forth in the following table~~:~~.

| Valuation multiple | Company metric (millions) | Implied transaction multiple | Min | Mean | Median | Max |

| --- | --- | --- | --- | --- | --- | --- |

| EV/LTM Adj. EBITDA — Actuals ~~(1)~~ | $173 | 13.5x | 8.6x | 16.9x | 15.8x ~~| 16.9x~~ | 26.8x |

| ~~Forecast (1)~~ EV/CY 2026E Adj. EBITDA — Forecasts | $203 | 11.5x | 8.3x | 15.8x | 14.4x ~~| 15.8x~~ | 25.1x |

| ~~Consensus Estimates~~ EV/CY 2026E Adj. EBITDA — consensus estimates | $180 | 12.9x | 8.3x | 15.8x | 14.4x ~~| 15.8x~~ | 25.1x |

William Blair noted that the analyzed implied valuation multiple for the Company based on the Merger Consideration was within the range of multiples of the selected publicly companies.

Although William Blair compared the trading multiples of the selected public companies to those implied for the Company, none of the selected public companies is directly comparable to the Company.

Accordingly, any analysis of the selected public companies involved complex considerations and judgments concerning the differences in financial and operating characteristics and other factors that would affect the analysis of trading multiples of the selected public companies.

Selected Precedent Transactions Analysis

William Blair reviewed and compared certain financial information relating to the Company to corresponding financial information and multiples for twelve selected publicly available transactions ~~that were announced subsequent to September 1, 2020, that involved the acquisition of companies~~ in the industrial ~~/~~and specialty distribution ~~sectors~~ sector involving companies with similar business models or financial profiles that William Blair deemed relevant based on its professional judgment and experience. William Blair did not take into account any announced or consummated transaction whereby relevant financial information was not publicly disclosed and the selected transactions are not intended to be representative of the entire range of possible relevant transactions. William Blair reviewed the consideration paid in the selected transactions in terms of the enterprise value of such transactions as a multiple of LTM Adjusted EBITDA based on the most recently available publicly disclosed 12-month historical period at the time of announcement for each respective transaction, and is sourced from SEC filings, ~~company disclosures, press releases~~ FactSet and ~~subscription~~Capital ~~services~~IQ as of July 14, 2026. Set forth below are the transactions and relevant metrics:

| Announcement ~~D~~date | Target | Acquiror | Enterprise ~~V~~value (millions) | ~~Enterprise Value/LTM~~ EV/LTM Adj. EBITDA |
| --- | --- | --- | --- | --- |
| April 2026 | TopBuild Corp. | QXO, Inc. | $16,951 | 14.8x |
| August 2025 | Foundation Building Materials, LLC | Lowe's Companies, Inc. | $8,800 | 13.9x (1) |
| August 2025 | HVAC ~~D~~division of NSI Industries | Lennox International Inc. | $550 | 10.0x (2) |
| June 2025 | GMS, Inc. | Home Depot, Inc. | $5,553 | 11.1x |
| March 2025 | Beacon Roofing Supply, Inc. | QXO, Inc. | $10,665 | 11.5x |
| November 2024 | Hydradyne LLC | Applied Industrial Technologies, Inc. | $273 | 9.1x (3) |
| March 2024 | SRS Distribution, Inc. | Home Depot, Inc. | $18,250 | 17.3x (4) |
| March 2023 | Hisco, Inc~~.~~ | Distribution Solutions Group, Inc. | $307 | 10.8x (5) |
| June 2022 | Industrial ~~B~~businesses of Roper Technologies, Inc. | Clayton, Dubilier & Rice, LLC | $2,600 | 10.0x (6) |
| December 2021 | Kaman Distribution Group | Genuine Parts Company | $1,300 | 13.8x (7) |
| November 2020 | HD Supply Holdings, Inc. | Home Depot, Inc. | $7,962 | 16.1x |
| September 2020 | Windy City Wire Cable & Technology Products LLC | Diploma PLC | $450 | 10.1x (8) |
| Max | — | — | $18,250 | 17.3x |
| Mean | — | — | $6,138 | 12.4x |
| Median | — | — | $4,076 | 11.3x |
| Min | ~~Median~~— | ~~Mean~~— | ~~Max~~$273 | 9.1x |

~~|~~(1), (2) ~~|~~LTM Adjusted EBITDA for the ~~CY~~ calendar year ending December 31, ~~2024, as reported in the Lennox International Inc.'s investor presentation filed on August 18, 2025. |~~ 2024.

~~|~~(3) ~~|~~LTM Adjusted EBITDA expected to be contributed by Hydradyne LLC within 12 months of ~~transaction~~the closing ~~as disclosed in 8-K filed on November 22, 2024. |~~ of the transaction.

~~|~~(4) ~~|~~LTM Adjusted EBITDA for ~~CY~~ the calendar year ended December 31, ~~2023, as reported in Home Depot, Inc.'s investor presentation filed on March 28, 2024. |~~ 2023.

~~|~~(5) ~~|~~LTM Adjusted EBITDA for the fiscal year ending October 31, ~~2022, as reported in the transaction 8-K filed by DSG on March 31, 2023. EV~~ 2022. Enterprise value includes $37.5 million in retention bonuses to Hisco, Inc~~.~~ employees. ~~|~~

~~|~~(6) ~~|~~LTM Adjusted EBITDA for the calendar year ~~2021, as reported in the transaction press release filed by Roper on June 1, 2022.~~ 2021. Excludes $51 million in performance based earnouts. ~~|~~

~~|~~(7) ~~|Represents~~ LTM Adjusted EBITDA for the calendar year ~~2022, as reported in the investor presentation filed by Genuine Parts Company on December 16, 2021. |~~ 2022.

~~|~~(8) ~~|~~LTM Adjusted EBITDA for the calendar year ~~2020, as reported in the Diploma investor presentation filed on September 22,~~ 2020. ~~|~~

William Blair then used the implied enterprise value of $2,328 million based on the per share Merger Consideration of $35.00 ~~and the net debt of the Company of $685 million as of March 31, 2026, as set forth in and calculated from the Company's public filings,~~ to derive an implied transaction multiple for the Company ~~using~~for LTM Q1 2026A Adjusted EBITDA ~~for the last twelve months ending March 31, 2026~~ of $173 million. William Blair compared the multiple implied for the Company based on the Merger Consideration to the range of transaction multiples of the aggregate group of such selected transactions. Information regarding the multiples from William Blair's selected transaction analysis is set forth in the following table:

| Multiple | Company metric (millions) | Implied ~~Merger~~transaction ~~M~~multiple | ~~Range of Selected Precedent Transaction Multiples~~ Min. | Mean | Median | Max. |
| --- | --- | --- | --- | --- | --- | --- |
| EV/LTM Adj. EBITDA — Actual ~~(1)~~ | $173 | 13.5x | 9.1x | 12.4x | 11.3x ~~| 12.4x~~ | 17.3x |

William Blair noted that the analyzed implied transaction multiple for the Company based on the Merger Consideration was within the range of multiples of the selected transactions.

Although William Blair compared the multiples of the selected transactions to that implied for the Company, none of these transactions or associated companies is directly comparable to the Company or the Merger. Accordingly, any analysis of the selected transactions involved complex considerations and judgments concerning the differences in financial and operating characteristics, parties involved and terms of their transactions and other factors that would affect the analysis of multiples of the selected transactions.

Discounted Cash Flow Analysis

William Blair utilized the ~~P~~Fo~~r~~r~~oj~~ecas~~tion~~s to perform a discounted cash flow analysis of the Company's projected future free cash flows for the fiscal years ending December 31, 2026~~,~~ through December 31, ~~2030.~~ 2030, using a valuation date of March 31, 2026 and a mid-year discount convention. Cash flows were burdened by stock-based compensation. Using the discounted cash flow methodology, William Blair calculated the present values of the projected after-tax unlevered free cash flows for the ~~Company.~~ Company, assuming a 29.5% tax rate per the Company's senior management. In this analysis, William

Blair exercised its professional judgment, based on its experience and expertise, and calculated the assumed terminal value of the Company by utilizing a perpetuity growth rate range of 2.0% to 3.0% applied to ~~calendar~~terminal year ~~2030 expected~~ unlevered free cash ~~flows.~~ flow, as compared to the long-term U.S. gross domestic product annual growth rate outlook of 1.8% according to the Congressional Budget Office as of February 2026. To discount the projected unlevered free cash flows and assumed terminal value to present value, William Blair used discount rates ranging from 9.0% to 11.0% using its professional judgment, based on its experience and expertise, and a calculation of the weighted average cost of capital using the capital asset pricing model. ~~In performing its analysis, as directed by the management of the Company, William Blair assumed a 29.5% effective tax rate.~~

William Blair aggregated the present value of the after-tax unlevered free cash flows over the applicable forecast period, the present value of the potential federal tax savings expected to result from the utilization of the Company's federal net operating losses of $4 million and the present value of the assumed terminal value. William Blair then derived a range of implied equity values per share by subtracting the Company's net debt ~~of $685 million~~ as of March 31, 2026, as set forth in and calculated from the Company's public filings, and dividing such amount by the Company's fully diluted shares outstanding as of July 14, 2026 as provided by the Company's senior management (calculated based on 46,255,422 common shares, 2,258,658 options at a weighted average strike price of $42.29, 424,717 ~~restricted stock units~~ RSUs and 115,988 deferred ~~shares, and excluding out-of-the-money options and 26,754 SPRs).~~ shares). This analysis resulted in a range of implied equity values of $24.86 to $42.63 per share, as compared to the Merger Consideration of $35.00 per share. The sensitivity analysis of implied equity value per share performed by William Blair, by discount rate and perpetuity growth rate, is set forth in the following table:

| Discount rate | 2.0% | 2.5% | 3.0% |
| --- | --- | --- | --- |
| 9.0% | $35.97 | $39.06 | $42.63 |
| 10.0% | $29.74 | $32.02 | $34.63 |
| 11.0% | $24.86 | $26.62 | $28.59 |

Leveraged Buyout Analysis

William Blair utilized the ~~P~~For~~oj~~ecast~~ion~~s to perform a hypothetical leveraged buyout analysis and calculated the illustrative implied purchase prices at which a leveraged ~~acquisition~~buyout of the Company could occur and yield a target range of annualized internal rates of return from 18.0% to 22.0% for a potential ~~investor.~~ investor, assuming total net debt of $920 million, or 5.3x LTM Adjusted EBITDA, in the form of a unitranche facility bearing interest at SOFR plus 500 basis points, and utilizing valuation and balance sheet figures as of March 31, 2026. In this analysis, William Blair estimated an exit value by utilizing a range of LTM Adjusted EBITDA multiples of 9.0x to 11.0x applied to calendar year 2030 Adjusted EBITDA of $357 million (including an estimated $5 million of annual ~~cost~~direct ~~savings~~costs associated with the Company's operations as a public company ~~that~~which the management of the Company indicated ~~may~~would no longer be incurred). The analysis assumed a 29.5% tax rate per the Company's senior management, with the Company's net operating losses utilized to offset tax liability during the projection period, and a management option pool of 10.0%. The target annualized internal rate of return and the ~~range of~~ total net leverage were derived by William Blair utilizing its professional judgment and experience. ~~For purposes of the analysis William Blair assumed total net debt of $920 million as of March 31, 2026 (approximately 5.3x last twelve months Adjusted EBITDA) and utilized the Company's fully diluted shares outstanding as of July 14, 2026 as provided by the Company's senior management.~~ Based on the range of internal rates of return and exit multiples above, this analysis resulted in a range of implied ~~equity~~purchase ~~values~~prices of $26.61 to $37.00 per share of ~~the~~ Company Common

Stock, as compared to the Merger Consideration of $35.00 per share of Company Common Stock. The sensitivity analysis of implied purchase price per share performed by William Blair, by internal rate of return and 2030E LTM Adjusted EBITDA exit multiple, is set forth in the following table:

| Internal rate of return | 9.0x | 10.0x | 11.0x |
| --- | --- | --- | --- |
| 18.0% | $30.55 | $33.77 | $37.00 |
| 20.0% | $28.48 | $31.45 | $34.42 |
| ~~Min.~~22.0% | ~~Median~~$26.61 | ~~Mean~~$29.36 | ~~Max.~~$32.09 |

M&A Premiums Paid Analysis

William Blair analyzed data from 239 acquisitions of North American publicly traded target companies across all industries with transaction equity values between $1 billion and $2 billion that were announced since January 1, ~~2016.~~ 2016, based on Dealogic transaction data through June 30, 2026. Specifically, William Blair compared the acquisition price per share of each transaction to the closing price of the target company's stock one day, one week and one month prior to the announcement of such transaction. William Blair then compared the range of resulting per share price premiums for the reviewed transactions to the premiums implied by the Merger Consideration based on the Company's undisturbed share ~~prices one day, one week and one month prior to~~ price of $19.31 as of March 13, 2026 ~~(the last day~~ and, for reference only, based on the Company's current share price of ~~trading prior to filing~~ $27.59 as of ~~13D by LKCM Headwater) of $19.31, $22.09 and $30.84, respectively.~~ July 14, 2026. Information regarding the premiums from William Blair's analysis of selected transactions is set forth in the following table:

| Period | Implied premium to undisturbed | Implied premium to current | 10th | 20th | 30th | 40th | 50th | 60th | 70th | 80th | 90th |
| --- | --- | --- | --- | --- | --- | --- | --- | --- | --- | --- | --- |
| One Day Prior | 81.3% | 26.9% | (0.7%) | 5.9% | 12.2% | 17.2% | 22.9% | 29.9% | 45.0% | 57.9% | 79.4% |
| One Week Prior | 58.4% | 29.9% | (1.2%) | 8.2% | 13.7% | 18.0% | 23.2% | 31.5% | 44.6% | 62.3% | 81.3% |
| One Month Prior | 13.5% | 26.3% | (2.1%) | 11.5% | 17.6% | 25.0% | 31.1% | 38.4% | 48.7% | 63.3% | 94.7% |

General

This summary is not a complete description of the analysis performed by William Blair, but contains the material elements of the analysis. The preparation of an opinion regarding fairness is a complex process involving various determinations as to the most appropriate and relevant methods of financial analysis and the application of those methods to the particular circumstances, and, therefore, such an opinion is not readily susceptible to partial analysis or summary description. The preparation of an opinion regarding fairness does not involve a mathematical evaluation or weighing of the results of the individual analyses performed, but requires William Blair to exercise its professional judgment, based on its experience and expertise, in considering a wide variety of analyses taken as a whole. Each of the analyses conducted by William Blair was carried out in order to provide a different perspective on the Merger Consideration and add to the total mix of information available. The analyses were prepared solely for the purpose of William Blair providing its opinion and do not purport to be appraisals or necessarily reflect the prices at which securities actually may be sold. William Blair did not form a conclusion as to whether any individual analysis, considered in isolation, supported or failed to support an opinion about the fairness of the Merger Consideration to be received by the Disinterested Stockholders (other than the holders of Excluded Shares). Rather, in rendering its oral opinion on July 15, 2026 (subsequently confirmed in its written opinion dated July 15, 2026) to the Special Committee, as of that date and based upon and subject to the assumptions, qualifications and limitations stated in its written opinion, as to whether the Merger Consideration to be received by the Disinterested Stockholders (other than the holders of Excluded Shares) ~~in connection with the transaction contemplated by the Merger Agreement~~ was fair, from a financial point of view, to such stockholders, William Blair considered the results of the analyses in light of each other and ultimately reached its opinion based on the results of all analyses taken as a whole. William Blair's fairness opinion considered each valuation method equally and did not place any particular reliance or weight on any particular analysis, but instead concluded that its analyses, taken as a whole, supported its determination. Accordingly, notwithstanding the separate factors summarized above, William Blair believes that its analyses must be considered as a whole and that selecting portions of its analyses and the factors considered by it, without considering all analyses and factors, may create an incomplete view of the evaluation process underlying its opinion. No company or transaction used in the above analyses as a comparison is directly comparable to the Company or the Merger. In performing its analyses, William Blair made numerous assumptions with respect to industry performance, business and economic conditions and other matters. The analyses performed by William Blair are not necessarily indicative of future actual values and future results, which may be significantly more or less favorable than suggested by such analyses.

William Blair's investment banking services and its opinion were provided for the use and benefit of the Special Committee in connection with its consideration of the Merger, and its opinion was reviewed and approved by William Blair's Fairness Opinion Committee.

William Blair has been engaged in the investment banking business since 1935. William Blair continually undertakes the valuation of investment securities in connection with public offerings, private placements, business combinations and similar transactions. In the ordinary course of its business, William Blair may from time to time trade the securities of the Company or other parties involved in the Merger for its own account and for the accounts of its customers, and accordingly may at any time hold a long or short position in such securities. William Blair is familiar with the Company, ~~having provided certain~~ and has acted as an investment ~~banking services~~ banker to the Company in connection with the Merger. ~~William Blair and its affiliates have not performed any financial advisory or other services to the Company, LKCM Headwater or their respective related parties or affiliates in the preceding two years.~~

Fees

Pursuant to the terms of William Blair's engagement, a ~~letter agreement dated April 26, 2026 between the Company and William Blair, an~~ fairness opinion fee of $2.0 million became payable ~~by the Company~~ to William Blair upon delivery of its fairness opinion. An additional fee of $4.6 million will become payable to William Blair in connection with the consummation of the Merger and is contingent on consummation of the Merger. No portion of the fees payable to William Blair ~~for rendering its fairness opinion was~~ were contingent on the conclusions reached by William Blair in ~~its~~ William Blair's fairness opinion. In addition, the Company agreed ~~to reimburse William Blair for certain of its out-of-pocket, documented expenses (including fees and expenses of its counsel and any other independent experts retained by William Blair) reasonably incurred by it in connection with its engagement and~~ to indemnify William Blair against certain potential liabilities arising out of its engagement.

**Original paragraphs not carried into the revised document (9 of 89)**

~~For more information on the Projections, including a discussion of estimates and judgments used by the Company in the preparation of the Projections, see the section of this proxy statement titled " — Unaudited Prospective Financial Information ".~~

~~| (1) | Metrics calendarized based on fiscal year end of June 30. |~~

~~| (2) | Metrics calendarized based on fiscal year end of August 31. |~~

~~| Implied Merger Multiples | Selected Public Company Multiples |~~

~~| Enterprise Value/LTM Adjusted EBITDA |~~

~~| (1) | Company financials are pro forma for acquisitions. |~~

~~| (1) | LTM EBITDA for the CY ending December 31, 2024, as reported in the 8-K filed by Lowe's Companies, Inc. on August 20, 2025. |~~

~~| (1) | Company financials are pro forma for acquisitions. |~~

~~| (1) | Implied premium based on Merger Consideration of $35.00 per share. Relative to the Company's undisturbed share prices one day, one week and one month prior to March 13, 2026 of $19.31, $22.09 and $30.84, respectively. |~~